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Short Writing Assignment #1

Psychology of Negotiation

The Hidden Anchor

In "When Perspective Taking Increases Taking" by Epley et al. (2006), findings of five different experiments suggested that while considering others' perspectives can reduce egocentric biases in judgments of fairness, it ironically leads to increased egoistic behavior, called "reactive egoism". This manifested in participants claiming they deserved less when asked about fairness but taking more resources than those who did not consider others' perspectives. I was particularly interested in Experiments 2 and 3, where the format of the experiment was an online questionnaire, rather than an in-person negotiation. Experiments 2 and 3 supported the reactive egoism hypothesis by showing that participants who considered others' perspectives and claimed they deserved less funding actually requested more money than those in the self-focused condition; the interpretation of these results was that the other-focused groups predicted that others would behave selfishly, activating their own selfish behavior. While Epley et al.'s results in Experiments 1, 4, and 5 felt convincing, Experiments 2 and 3, considering their lack of person to person negotiation, may fail to account for the tendency to anchor higher than a more fair, desired, or mutually beneficial price in a negotiation. In class, we quickly learned the importance of an anchor in the inventor-CEO robot communication negotiation: people tended to anchor higher than their desired amount, anticipating that the negotiation would result in a lower price than the anchor. If we consider that in Experiments 2 and 3, participants' requests to the dean for housing money serves as an anchor in a negotiation with the dean or the other houses, then it makes sense that the other-focused groups would request a higher amount than they deemed reasonable in their initial fairness estimations/desired amounts. The participants were essentially being asked to make the first move in a negotiation that would not play out and, because ultimately the amount awarded was up to the dean and the amount other houses would request, participants could have been naturally and strategically requesting more than fair in an effort to maximize the chance of the dean giving them less money than their request but more or equal money to how much they believed was fair. Additionally, not necessarily contrary to the experiment's findings, participants may make higher requests anticipating that others will do the same they are – behaving seemingly selfishly in an attempt to increase their chances of receiving what they believe is fair.

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